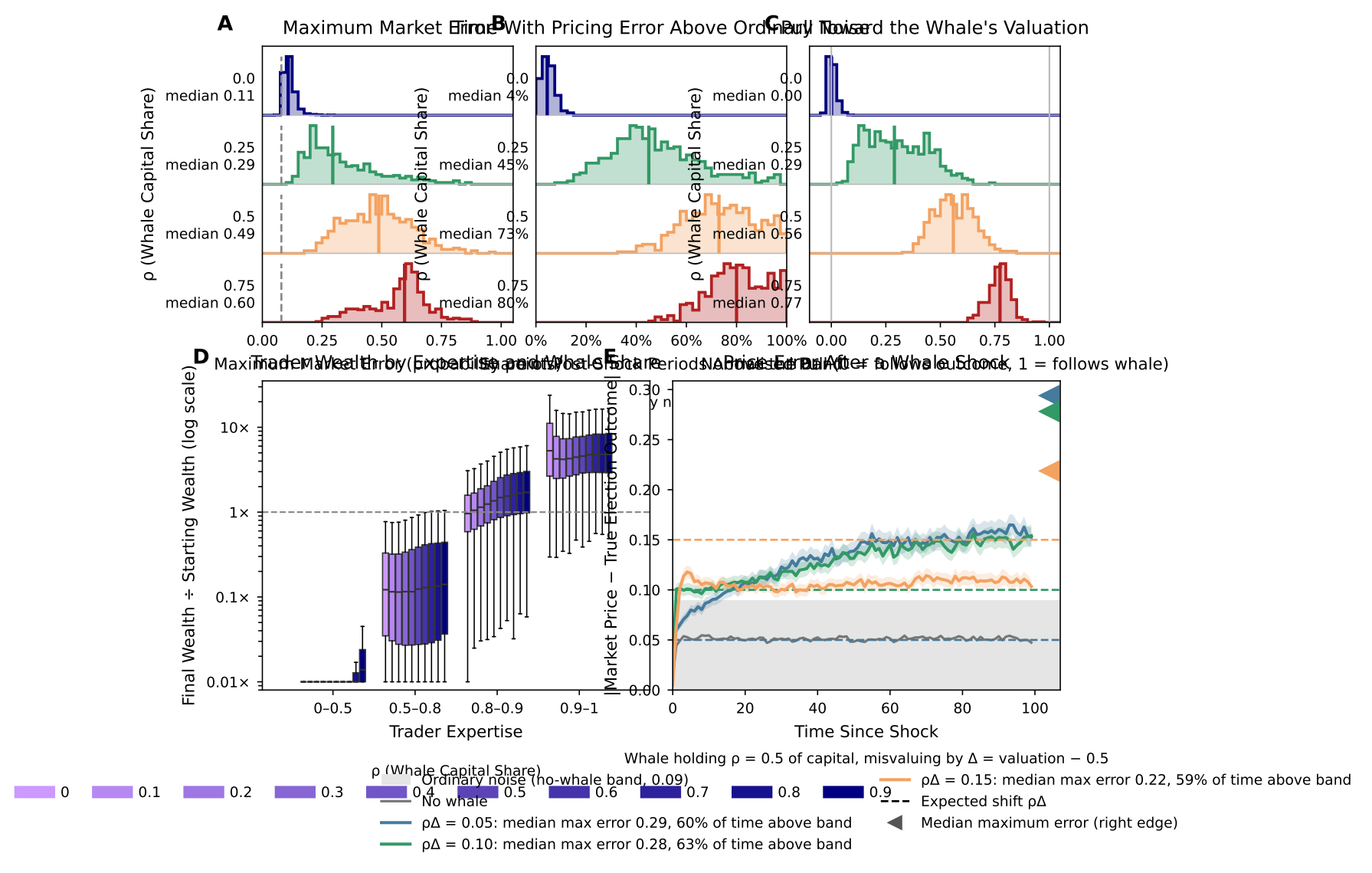
A
Maximum Market Error With Pricing Error Above Ordinary Noise
B
C
ρ (Whale Capital Share)
0.0
median 0.11
median 4%
median 0.00
0.25
median 0.29
median 45%
median 0.29
0.5
median 0.49
median 73%
median 0.56
0.75
median 0.60
median 80%
median 0.77
0.00 0.25 0.50 0.75 1.00
0% 20% 40% 60% 80% 100%
D
Trader Wealth by Expertise and Whale Share
E
Market Error After a Whale Shock
Final Wealth ÷ Starting Wealth (log scale)
10×
1×
0.1×
0.01×
0–0.5
0.5–0.8
0.8–0.9
0.9–1
Trader Expertise
Market Price − True Election Outcome
0.30
0.25
0.20
0.15
0.10
0.05
0.00
0 20 40 60 80 100
Time Since Shock
ρ (Whale Capital Share)
0 0.1 0.2 0.3 0.4 0.5 0.6 0.7 0.8 0.9
Whale holding ρ = 0.5 of capital, misvaluing by Δ = valuation − 0.5
Ordinary noise (no-whale band, 0.09)
No whale
ρΔ = 0.05: median max error 0.29, 60% of time above band
ρΔ = 0.10: median max error 0.28, 63% of time above band
ρΔ = 0.15: median max error 0.22, 59% of time above band
Expected shift ρΔ
Median maximum error (right edge)